OFFERING MEMORANDUM

Kestrel Logistics Center | Kansas City, MO

Property	Kestrel Logistics Center
Location	9331 Railroad Court, Kansas City, MO 67189
Property Type	Industrial
Size	81,000 SF
Year Built	2012
Offering	Unpriced - Offers Due February 7, 2021

Business Plan Progress

In-place rents average $7 per square foot triple net with 3% annual escalations. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 39' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building offers 23' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 7.5% on contributed capital.

Market Overview

Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 11.6% population growth over the last five years. Market vacancy for comparable Industrial product stands at 6.4%, down from 4.6% two years ago. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 6.08% and 6.08%. Median household income within a 2-mile radius of the property is approximately $285,000 and has grown 8.8% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

The Kansas City Industrial market has experienced absorption of 2000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Industrial product stands at 4.2%, down from 7.9% two years ago. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 9.2% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Investor Distributions

Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital. The facility is located 2 miles from the interstate with access to a regional intermodal terminal. Projected levered IRR is 5.0% with an equity multiple of 1.33x over the hold period. In-place rents average $7 per square foot triple net with 3% annual escalations. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The building offers 46' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Projected levered IRR is 7.1% with an equity multiple of 1.3x over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Distributions to investors for the quarter were paid at an annualized rate of 7.9% on contributed capital.

Market Overview

Market vacancy for comparable Industrial product stands at 7.8%, down from 4.2% two years ago. Rent growth in the submarket has averaged 7.8% annually over the past 5 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 7.20% and 7.20%. In-place rents average $7 per square foot triple net with 3% annual escalations.

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Business Plan Progress

The building offers 35' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 2.8% with an equity multiple of 1.10x over the hold period. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Projected levered IRR is 3.3% with an equity multiple of 1.37x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 20' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 1 miles from the interstate with access to a regional intermodal terminal.

Demographics and Employment

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The Kansas City Industrial market has experienced absorption of 3300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 4.9% annually over the past 7 years. The building offers 46' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Employment growth is led by healthcare, logistics, education and professional services sectors.

Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 7.23% and 7.23%. Rent growth in the submarket has averaged 5.5% annually over the past 9 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. In-place rents average $7 per square foot triple net with 3% annual escalations.

Business Plan Progress

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 13.9% with an equity multiple of 1.31x over the hold period.

Market Overview

The Kansas City Industrial market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 7.7% annually over the past 10 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 5.76% and 5.76%. Market vacancy for comparable Industrial product stands at 7.8%, down from 6.6% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 6.4% population growth over the last five years.

Business Plan Progress

In-place rents average $7 per square foot triple net with 3% annual escalations. The facility is located 5 miles from the interstate with access to a regional intermodal terminal. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 3.8% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The facility is located 1 miles from the interstate with access to a regional intermodal terminal. The building offers 21' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Projected levered IRR is 8.1% with an equity multiple of 1.37x over the hold period. In-place rents average $7 per square foot triple net with 3% annual escalations.

Market Overview

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Riverbend Commerce Park	Birmingham, AL	11/26/2023	5	$9,037,023	$112	7.40%	1979
Juniper Commerce Park	Albuquerque, NM	01/30/2024	4	$7,502,826	$93	5.74%	1977
Lantern Industrial Park	Richmond, VA	03/03/2025	4	$9,297,597	$115	7.41%	1972
Prairie Logistics Center	Salt Lake City, UT	02/21/2026	4	$9,375,584	$116	7.67%	2000
Hollis Commerce Park	Minneapolis, MN	02/24/2025	7	$13,049,481	$161	7.13%	2007
Raven Business Park	Riverside, CA	08/22/2025	6	$7,501,014	$93	5.95%	1996
Windmill Commerce Park	Tampa, FL	07/02/2025	6	$8,183,907	$101	6.83%	1978
Osprey Commerce Park	Salt Lake City, UT	01/19/2025	3	$5,458,145	$67	7.38%	1970
Willow Distribution Center	Riverside, CA	01/09/2026	4	$11,309,814	$140	6.82%	1974
Aspen Industrial Park	Philadelphia, PA	01/08/2026	6	$15,857,190	$196	7.37%	2011
Lantern Commerce Park	San Diego, CA	12/04/2024	3	$11,804,774	$146	8.16%	2001
Falcon Industrial Park	Portland, OR	09/23/2023	7	$9,848,227	$122	5.79%	1970
Indigo Industrial Park	Greenville, SC	03/20/2025	6	$7,024,845	$87	7.45%	1983
Windmill Business Park	Detroit, MI	12/31/2024	6	$9,019,642	$111	7.33%	2020
Marlow Distribution Center	Phoenix, AZ	09/10/2023	3	$11,644,745	$144	5.78%	1972
Hollis Logistics Center	Atlanta, GA	05/09/2022	3	$12,381,125	$153	6.68%	1974
Eastlake Industrial Park	Charlotte, NC	08/20/2022	4	$14,115,131	$174	6.92%	1970
Glenview Industrial Park	Denver, CO	03/28/2024	6	$8,892,617	$110	5.72%	2013
Kingsley Distribution Cent	Atlanta, GA	03/01/2022	6	$16,689,596	$206	7.45%	1977
Hawthorne Commerce Park	Des Moines, IA	04/28/2023	7	$11,852,078	$146	7.42%	2016
Meridian Business Park	Madison, WI	08/28/2026	7	$13,228,726	$163	7.85%	1994
Newport Business Park	New Orleans, LA	01/05/2026	3	$14,154,675	$175	6.05%	2011
Indigo Commerce Park	Jacksonville, FL	11/16/2023	3	$11,085,008	$137	7.07%	2009
Heritage Distribution Cent	Kansas City, MO	06/04/2026	4	$13,778,234	$170	6.84%	2002
Brookside Commerce Park	Portland, OR	04/02/2026	5	$6,226,706	$77	5.89%	2011
Kingsley Industrial Park	Austin, TX	04/05/2025	5	$12,989,630	$160	8.07%	2010
Gatewood Industrial Park	Sacramento, CA	05/01/2026	5	$13,018,753	$161	5.55%	1974
Valley Distribution Center	Boston, MA	04/04/2026	7	$6,061,960	$75	7.32%	1980
Saddlebrook Logistics Cent	Philadelphia, PA	02/08/2026	4	$16,838,612	$208	6.91%	1984
Stonebridge Commerce Park	Memphis, TN	05/06/2022	5	$13,092,572	$162	7.11%	1989
Nautilus Industrial Park	Des Moines, IA	07/30/2025	5	$14,067,248	$174	7.54%	2020
Northgate Commerce Park	Portland, OR	11/04/2025	7	$5,208,844	$64	7.79%	1975
Calloway Commerce Park	Nashville, TN	08/05/2025	5	$7,204,742	$89	5.57%	1969
Sable Business Park	Albuquerque, NM	10/02/2025	6	$8,111,586	$100	6.59%	1992
Union Commerce Park	Greenville, SC	08/12/2023	3	$10,988,085	$136	6.36%	1992
Osprey Logistics Center	Raleigh, NC	07/28/2025	6	$16,359,657	$202	5.33%	1973
Keystone Logistics Center	Des Moines, IA	02/16/2023	4	$15,912,909	$196	7.49%	2004
Verde Logistics Center	Riverside, CA	05/24/2022	3	$11,446,334	$141	8.20%	2007
Summit Distribution Center	Phoenix, AZ	01/28/2024	4	$15,850,289	$196	7.79%	1967
Lakeshore Industrial Park	Chicago, IL	02/13/2024	6	$8,333,727	$103	6.13%	1970
Onyx Industrial Park	Philadelphia, PA	03/21/2026	6	$11,170,890	$138	5.15%	1981

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Improvements Description

In-place rents average $7 per square foot triple net with 3% annual escalations. Kestrel Logistics Center was originally constructed in 2012 and consists of 81,000 SF in a building of 2 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. The roof is a 21-year membrane system with an estimated remaining useful life of 5 years.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Kestrel Logistics Center was originally constructed in 2012 and consists of 81,000 SF in a building of 18 stories. Common area interiors have been refreshed within the last 10 years and are in average to good condition. The facility is located 8 miles from the interstate with access to a regional intermodal terminal.

Income and Expense Review

Operating expenses totaled $157,000 or approximately 39.22 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.74x on a trailing basis against a covenant minimum of 1.20x. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period.

The facility is located 2 miles from the interstate with access to a regional intermodal terminal. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. The building offers 38' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Debt service coverage ratio was 6.00x on a trailing basis against a covenant minimum of 1.20x. In-place rents average $7 per square foot triple net with 3% annual escalations.

Building Systems

Common area interiors have been refreshed within the last 5 years and are in average to good condition. In-place rents average $7 per square foot triple net with 3% annual escalations. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 8-year membrane system with an estimated remaining useful life of 3 years. The building offers 13' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 4 miles from the interstate with access to a regional intermodal terminal.

The building offers 33' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The roof is a 12-year membrane system with an estimated remaining useful life of 12 years. In-place rents average $7 per square foot triple net with 3% annual escalations. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 6 miles from the interstate with access to a regional intermodal terminal.

Financial Analysis

The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. Effective gross income for the trailing period was $252,000, representing a 4.6% increase over the prior year. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. In-place rents average $7 per square foot triple net with 3% annual escalations.

Operating expenses totaled $400,000 or approximately 32.03 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.99x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 8.17% reflects the in-place income and the stabilized occupancy assumption. In-place rents average $7 per square foot triple net with 3% annual escalations. Effective gross income for the trailing period was $156,000, representing a 12.4% increase over the prior year. The building offers 6' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Improvements Description

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The roof is a 17-year membrane system with an estimated remaining useful life of 7 years. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Mechanical systems include rooftop package units and central plant equipment of varying age. In-place rents average $7 per square foot triple net with 3% annual escalations. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Kestrel Logistics Center was originally constructed in 2012 and consists of 81,000 SF in a building of 10 stories. Common area interiors have been refreshed within the last 10 years and are in average to good condition. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Mechanical systems include rooftop package units and central plant equipment of varying age.

Valuation Discussion

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Ridgeline Business Park	3.8 mi	2008	Inline	$6.26	98.0%	$500
Kingsley Industrial Park	4.1 mi	2020	Bay	$7.77	92.2%	$500
Lantern Logistics Center	1.6 mi	2002	Studio	$6.63	90.9%	$500
Gatewood Industrial Park	3.0 mi	1999	Suite	$6.82	95.9%	None
Upland Business Park	3.7 mi	2012	Studio	$7.95	96.1%	1 mo. free
Lockwood Business Park	1.8 mi	1994	Unit	$7.99	91.3%	1 mo. free
Saddlebrook Commerce Park	3.5 mi	2018	Suite	$7.48	93.6%	None
Banyan Industrial Park	4.6 mi	2008	Suite	$7.12	93.8%	1 mo. free
Summit Logistics Center	1.9 mi	1979	Unit	$6.44	90.3%	None
Canyon Distribution Center	1.7 mi	2012	Bay	$6.35	97.4%	$500
Summit Business Park	1.5 mi	1984	Bay	$6.74	92.5%	1 mo. free
Bayview Business Park	3.8 mi	2018	Studio	$7.24	93.7%	1 mo. free
Palisade Commerce Park	3.5 mi	2016	Inline	$8.15	92.0%	1 mo. free
Sable Logistics Center	3.9 mi	1976	1BR	$7.63	91.6%	$500
Indigo Business Park	2.5 mi	1981	2BR	$6.63	91.0%	None
Newport Business Park	3.7 mi	2005	Studio	$7.68	97.7%	None
Quarry Business Park	1.5 mi	1980	Inline	$7.99	93.0%	None
Indigo Commerce Park	1.6 mi	1971	Inline	$8.20	96.9%	None
Northgate Commerce Park	1.5 mi	1978	1BR	$7.70	89.7%	None
Bluestone Commerce Park	2.2 mi	2016	Inline	$7.39	89.8%	None
Heritage Distribution Center	2.6 mi	1988	Bay	$6.59	89.1%	1 mo. free
Everett Industrial Park	2.5 mi	1970	Bay	$6.61	89.1%	None
Eastlake Distribution Center	1.4 mi	2021	Inline	$7.18	91.9%	$500
Zephyr Logistics Center	0.3 mi	1971	Unit	$6.25	93.7%	None
Wexford Commerce Park	0.2 mi	2023	Bay	$7.98	93.4%	None
Laurel Industrial Park	1.2 mi	1970	Inline	$6.10	89.9%	1 mo. free
Onyx Industrial Park	0.5 mi	2021	1BR	$6.61	93.9%	None
Lantern Business Park	0.4 mi	1989	Suite	$6.63	93.1%	$500
Brookside Industrial Park	1.4 mi	1987	1BR	$6.69	91.5%	1 mo. free
Glenview Commerce Park	4.0 mi	1978	Studio	$6.93	91.8%	None
Saddlebrook Distribution Cente	0.5 mi	2005	1BR	$7.13	87.5%	1 mo. free
Marlow Business Park	0.4 mi	2008	2BR	$6.39	88.5%	1 mo. free
Lakeshore Industrial Park	4.5 mi	1999	Inline	$7.70	93.0%	$500
Beacon Logistics Center	3.5 mi	2011	Suite	$6.93	92.6%	None
Union Business Park	0.7 mi	1980	Unit	$6.65	97.2%	1 mo. free
Kestrel Industrial Park	4.3 mi	2019	Inline	$7.00	90.7%	$500
Sable Logistics Center	2.7 mi	2002	2BR	$7.66	90.0%	1 mo. free
Valley Industrial Park	4.7 mi	1991	Suite	$7.92	94.5%	None
Granite Logistics Center	3.3 mi	1976	Suite	$6.58	88.2%	None
Indigo Industrial Park	2.9 mi	2001	Bay	$6.62	87.9%	None

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Management Commentary

Service requests are tracked through a work-order system with an average completion time of 45 hours. In-place rents average $7 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 95.7% of billed charges, with bad debt of 5.5% of gross potential income. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Market Overview

Median household income within a 9-mile radius of the property is approximately $336,000 and has grown 10.4% annually. In-place rents average $7 per square foot triple net with 3% annual escalations. The building offers 38' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 3.9% population growth over the last five years. Market vacancy for comparable Industrial product stands at 7.9%, down from 4.4% two years ago.

The building offers 13' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Industrial product stands at 13.7%, down from 4.0% two years ago. In-place rents average $7 per square foot triple net with 3% annual escalations.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. Service requests are tracked through a work-order system with an average completion time of 45 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 93.3% of billed charges, with bad debt of 5.7% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building offers 14' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members.

Supply and Demand

Rent growth in the submarket has averaged 6.7% annually over the past 10 years. The Kansas City Industrial market has experienced absorption of 1400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 5.60% and 5.60%.

In-place rents average $7 per square foot triple net with 3% annual escalations. Market vacancy for comparable Industrial product stands at 7.4%, down from 5.6% two years ago. The Kansas City Industrial market has experienced absorption of 1400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 27 hours. Collections for the period were 93.8% of billed charges, with bad debt of 4.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members.

In-place rents average $7 per square foot triple net with 3% annual escalations. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 1 miles from the interstate with access to a regional intermodal terminal. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Submarket Analysis

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Investment Overview

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. In-place rents average $7 per square foot triple net with 3% annual escalations. Distributions to investors for the quarter were paid at an annualized rate of 3.0% on contributed capital.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. In-place rents average $7 per square foot triple net with 3% annual escalations. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 38' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Supply and Demand

Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 5.9% annually over the past 4 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Industrial product stands at 3.0%, down from 4.7% two years ago. The facility is located 4 miles from the interstate with access to a regional intermodal terminal.

Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 9.2% population growth over the last five years. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 5.28% and 5.28%. Market vacancy for comparable Industrial product stands at 11.1%, down from 8.0% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 3 miles from the interstate with access to a regional intermodal terminal.

Investor Distributions

In-place rents average $7 per square foot triple net with 3% annual escalations. Projected levered IRR is 4.2% with an equity multiple of 1.20x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 48' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 7.4% on contributed capital.

Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building offers 28' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Demographics and Employment

In-place rents average $7 per square foot triple net with 3% annual escalations. The building offers 8' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Median household income within a 7-mile radius of the property is approximately $361,000 and has grown 12.9% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 6.0% annually over the past 6 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The facility is located 4 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations. Market vacancy for comparable Industrial product stands at 9.6%, down from 3.1% two years ago. Rent growth in the submarket has averaged 6.9% annually over the past 3 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Investment Overview

The building offers 36' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. In-place rents average $7 per square foot triple net with 3% annual escalations. Projected levered IRR is 12.6% with an equity multiple of 1.28x over the hold period.

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Ironwood Commerce Park	Cincinnati, OH	01/04/2023	4	$14,253,289	$176	7.47%	2022
Lantern Logistics Center	Memphis, TN	07/23/2024	3	$6,712,688	$83	6.14%	2015
Birchwood Distribution Cen	Baltimore, MD	09/27/2022	7	$5,188,289	$64	6.92%	2022
Mesa Business Park	San Antonio, TX	11/08/2025	5	$12,663,003	$156	7.19%	1996
Everett Distribution Cente	Baltimore, MD	04/24/2022	3	$13,168,222	$163	7.31%	2015
Stonebridge Distribution C	Phoenix, AZ	11/03/2022	6	$6,815,677	$84	5.36%	2022
Garnet Industrial Park	Orlando, FL	05/23/2026	7	$6,931,284	$86	6.60%	1979
Copper Business Park	Columbus, OH	02/17/2022	6	$7,014,809	$87	6.09%	2010
Everett Logistics Center	Hartford, CT	05/16/2023	5	$16,930,366	$209	7.78%	1977
Quarry Business Park	Tampa, FL	08/06/2024	6	$9,047,720	$112	5.26%	2011
Brookside Logistics Center	San Diego, CA	08/23/2025	6	$9,695,722	$120	6.27%	1980
Banyan Industrial Park	Buffalo, NY	05/10/2023	4	$5,074,086	$63	5.47%	2005
Beacon Commerce Park	Detroit, MI	09/19/2025	6	$12,395,800	$153	7.28%	2020
Meridian Business Park	Salt Lake City, UT	07/31/2026	3	$6,084,733	$75	7.11%	1982
Harbor Logistics Center	Buffalo, NY	12/30/2022	5	$10,277,557	$127	8.13%	2019
Maple Business Park	Austin, TX	02/26/2023	4	$15,162,412	$187	8.10%	1978
Lantern Logistics Center	Milwaukee, WI	02/17/2023	6	$14,237,075	$176	7.32%	2006
Willow Distribution Center	San Antonio, TX	03/26/2025	6	$8,800,177	$109	8.17%	2017
Banyan Commerce Park	Baltimore, MD	11/14/2022	3	$14,954,589	$185	7.87%	2003
Vista Logistics Center	Aurora, CO	03/05/2024	6	$14,800,643	$183	6.40%	2010
Lantern Distribution Cente	Atlanta, GA	07/25/2026	3	$11,275,837	$139	6.56%	2015
Hawthorne Commerce Park	Aurora, CO	11/01/2025	7	$13,412,434	$166	6.32%	2015
Saddlebrook Business Park	Charlotte, NC	08/01/2024	3	$8,299,408	$102	5.48%	2018
Falcon Industrial Park	Savannah, GA	09/30/2022	3	$6,458,760	$80	6.95%	1967
Willow Logistics Center	Seattle, WA	03/08/2022	4	$13,875,565	$171	5.40%	2020
Pinecrest Distribution Cen	Columbus, OH	09/17/2025	4	$12,401,977	$153	6.53%	2010
Timberline Business Park	Allentown, PA	11/28/2024	7	$17,038,901	$210	8.12%	2015
Hawthorne Logistics Center	Columbus, OH	07/11/2026	4	$12,605,400	$156	6.04%	2016
Palisade Industrial Park	Buffalo, NY	09/02/2023	5	$8,664,896	$107	6.08%	1995
Windmill Logistics Center	Memphis, TN	03/13/2026	3	$14,606,708	$180	7.56%	1969
Timberline Logistics Cente	Greenville, SC	01/09/2023	6	$9,078,701	$112	7.54%	2021
Tidewater Commerce Park	Cleveland, OH	04/15/2025	6	$16,803,628	$207	5.51%	2008
Amberly Distribution Cente	Newark, NJ	11/20/2025	5	$8,641,494	$107	5.04%	2022
Harbor Commerce Park	Tampa, FL	06/21/2022	4	$5,797,098	$72	5.21%	1984
Juniper Commerce Park	Charlotte, NC	09/29/2022	5	$7,942,447	$98	5.69%	2006
Oakmont Industrial Park	Houston, TX	05/25/2022	6	$16,859,430	$208	8.10%	2023
Garnet Logistics Center	Tampa, FL	06/25/2022	6	$6,910,175	$85	7.57%	1989
Northgate Business Park	Aurora, CO	06/18/2022	4	$15,675,174	$194	8.16%	1996
Westgate Industrial Park	St. Louis, MO	04/13/2024	5	$7,799,662	$96	7.69%	1997
Crestline Industrial Park	Madison, WI	03/07/2024	7	$5,946,718	$73	6.60%	1967
Palisade Distribution Cent	Memphis, TN	07/24/2025	5	$15,412,425	$190	6.61%	2019

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Construction Details

The facility is located 1 miles from the interstate with access to a regional intermodal terminal. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The building offers 14' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $7 per square foot triple net with 3% annual escalations.

The roof is a 32-year membrane system with an estimated remaining useful life of 7 years. Kestrel Logistics Center was originally constructed in 2012 and consists of 81,000 SF in a building of 32 stories. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 9 years and are in average to good condition.

Valuation Discussion

The building offers 5' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.32% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $332,000, representing a 12.9% increase over the prior year. Debt service coverage ratio was 6.37x on a trailing basis against a covenant minimum of 1.20x.

Debt service coverage ratio was 7.62x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 6.4% over the hold period. The going-in capitalization rate of 6.78% reflects the in-place income and the stabilized occupancy assumption. The building offers 14' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Building Systems

The roof is a 28-year membrane system with an estimated remaining useful life of 8 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 7' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $7 per square foot triple net with 3% annual escalations. Kestrel Logistics Center was originally constructed in 2012 and consists of 81,000 SF in a building of 8 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Kestrel Logistics Center was originally constructed in 2012 and consists of 81,000 SF in a building of 23 stories. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Operating Performance

Effective gross income for the trailing period was $406,000, representing a 10.1% increase over the prior year. In-place rents average $7 per square foot triple net with 3% annual escalations. Management fees are calculated at 6.8% of collected revenue and are included in operating expenses. Operating expenses totaled $266,000 or approximately 16.35 per square foot, with real estate taxes representing the largest line item. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Effective gross income for the trailing period was $299,000, representing a 8.0% increase over the prior year.

Building Systems

Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Common area interiors have been refreshed within the last 3 years and are in average to good condition. The building offers 23' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

Mechanical systems include rooftop package units and central plant equipment of varying age. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. In-place rents average $7 per square foot triple net with 3% annual escalations. The roof is a 45-year membrane system with an estimated remaining useful life of 8 years.

Operating Performance

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Rent Comparables

Comparable	Distance	Yr Built	Space Type	Asking Rent	Occupancy	Concessions
Zephyr Industrial Park	2.0 mi	2023	Unit	$7.23	91.3%	None
Verde Commerce Park	1.1 mi	1971	Studio	$6.21	91.2%	None
Vista Distribution Center	4.3 mi	2002	2BR	$6.37	91.8%	None
Garnet Industrial Park	1.6 mi	1996	Studio	$7.63	93.5%	$500
Maple Business Park	0.6 mi	1975	Bay	$6.01	92.2%	1 mo. free
Ridgeline Business Park	0.4 mi	2020	Suite	$6.08	91.9%	$500
Summit Business Park	1.8 mi	2023	Inline	$6.64	94.6%	None
Alder Logistics Center	0.7 mi	2017	Suite	$8.14	92.5%	1 mo. free
Driftwood Logistics Center	3.7 mi	2001	Bay	$7.28	90.9%	1 mo. free
Verde Commerce Park	2.4 mi	2001	Inline	$6.74	92.2%	1 mo. free
Magnolia Industrial Park	0.6 mi	1975	2BR	$7.21	95.8%	None
Valley Commerce Park	0.7 mi	1999	Unit	$7.74	93.8%	None
Orchard Distribution Center	4.8 mi	2011	Unit	$8.25	91.2%	None
Canyon Business Park	4.8 mi	2004	Inline	$8.22	95.1%	None
Union Logistics Center	4.5 mi	1997	Studio	$6.36	86.3%	None
Wexford Commerce Park	1.3 mi	1972	Unit	$7.50	93.7%	1 mo. free
Raven Commerce Park	0.5 mi	2022	Studio	$6.83	94.6%	1 mo. free
Quincy Business Park	4.7 mi	2005	Bay	$6.38	91.4%	None
Indigo Commerce Park	1.0 mi	1988	Unit	$6.84	94.8%	None
Vista Industrial Park	1.3 mi	2009	Bay	$7.43	93.0%	None
Crestline Commerce Park	4.4 mi	2021	Studio	$6.50	86.7%	1 mo. free
Cobalt Distribution Center	3.3 mi	1985	Inline	$6.32	94.9%	None
Brookside Commerce Park	0.8 mi	1982	Unit	$7.92	97.8%	None
Quincy Distribution Center	2.7 mi	2020	Inline	$7.10	94.4%	$500
Prairie Industrial Park	0.7 mi	1974	1BR	$6.92	94.2%	None
Calloway Industrial Park	0.4 mi	1971	2BR	$7.98	96.6%	None
Ironwood Logistics Center	1.7 mi	1999	Studio	$7.19	96.1%	$500
Ridgeline Distribution Center	4.0 mi	1970	1BR	$8.10	89.5%	None
Glenview Logistics Center	0.9 mi	1988	2BR	$6.79	93.9%	None
Quincy Distribution Center	3.8 mi	1996	Studio	$8.09	87.5%	1 mo. free
Dover Commerce Park	1.4 mi	2011	Inline	$7.13	89.5%	None
Timberline Distribution Center	4.7 mi	1981	1BR	$6.05	90.1%	None
Granite Logistics Center	2.1 mi	2014	Suite	$6.79	94.4%	None
Bayview Commerce Park	1.3 mi	2020	Unit	$6.29	88.7%	None
Timberline Commerce Park	1.8 mi	1988	Bay	$6.67	94.7%	$500
Kestrel Industrial Park	1.4 mi	2009	Inline	$6.79	95.3%	None
Highland Industrial Park	1.5 mi	1985	Inline	$6.60	90.9%	None
Prairie Business Park	4.0 mi	2005	Suite	$7.55	87.0%	None
Foxglove Commerce Park	2.7 mi	2001	Unit	$6.08	96.6%	1 mo. free
Driftwood Business Park	4.2 mi	2006	2BR	$6.25	92.0%	1 mo. free

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Management Commentary

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Collections for the period were 94.2% of billed charges, with bad debt of 8.0% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 43 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 88.5% of billed charges, with bad debt of 7.8% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations.

Supply and Demand

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 8.0% population growth over the last five years. Rent growth in the submarket has averaged 5.2% annually over the past 8 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Median household income within a 7-mile radius of the property is approximately $210,000 and has grown 4.2% annually.

Median household income within a 2-mile radius of the property is approximately $96,000 and has grown 9.2% annually. Market vacancy for comparable Industrial product stands at 9.3%, down from 3.2% two years ago. The facility is located 1 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 10.2% population growth over the last five years.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 96.4% of billed charges, with bad debt of 4.4% of gross potential income. The building offers 31' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Demographics and Employment

Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 7.1% population growth over the last five years. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 6.67% and 6.67%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The building offers 34' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Market vacancy for comparable Industrial product stands at 6.7%, down from 7.7% two years ago. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 10.0% population growth over the last five years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Rent growth in the submarket has averaged 5.3% annually over the past 5 years.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building offers 17' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. In-place rents average $7 per square foot triple net with 3% annual escalations.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 88.2% of billed charges, with bad debt of 7.0% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day. The facility is located 2 miles from the interstate with access to a regional intermodal terminal.

Supply and Demand

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Business Plan Progress

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. In-place rents average $7 per square foot triple net with 3% annual escalations. The building offers 12' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Distributions to investors for the quarter were paid at an annualized rate of 4.1% on contributed capital. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations. The building offers 43' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Submarket Analysis

The building offers 35' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Median household income within a 7-mile radius of the property is approximately $407,000 and has grown 8.4% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 7.4% population growth over the last five years. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 6.53% and 6.53%.

The facility is located 5 miles from the interstate with access to a regional intermodal terminal. Median household income within a 4-mile radius of the property is approximately $462,000 and has grown 8.3% annually. The Kansas City Industrial market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Industrial product stands at 5.5%, down from 3.3% two years ago. The building offers 30' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 6.9% with an equity multiple of 1.13x over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The facility is located 5 miles from the interstate with access to a regional intermodal terminal. The building offers 18' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

Demographics and Employment

Market vacancy for comparable Industrial product stands at 10.1%, down from 3.6% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. In-place rents average $7 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Rent growth in the submarket has averaged 7.9% annually over the past 4 years.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 5.59% and 5.59%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. The Kansas City Industrial market has experienced absorption of 700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 4-mile radius of the property is approximately $469,000 and has grown 7.3% annually.

Investment Overview

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. In-place rents average $7 per square foot triple net with 3% annual escalations. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. The building offers 11' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Demographics and Employment

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Sales Comparison Data

Comparable	Location	Sale Date	Size	Price	$/Unit or SF	Cap Rate	Yr Built
Amberly Business Park	Portland, OR	07/26/2026	6	$12,691,128	$157	6.95%	2002
Indigo Logistics Center	Dallas, TX	12/29/2022	7	$12,048,914	$149	7.80%	1990
Northgate Commerce Park	Tampa, FL	04/18/2026	4	$16,117,331	$199	5.57%	1973
Falcon Distribution Center	Buffalo, NY	06/03/2022	6	$10,767,160	$133	6.82%	1969
Cobalt Logistics Center	Hartford, CT	01/09/2024	6	$6,406,450	$79	8.01%	2004
Juniper Industrial Park	San Antonio, TX	01/19/2024	4	$6,017,897	$74	5.16%	1974
Copper Logistics Center	New Orleans, LA	11/13/2024	4	$14,331,694	$177	7.50%	2022
Marlow Distribution Center	Riverside, CA	09/21/2024	6	$5,349,491	$66	7.53%	2021
Ashford Industrial Park	Tempe, AZ	03/27/2024	5	$13,378,410	$165	5.04%	1997
Falcon Commerce Park	Denver, CO	06/19/2023	4	$15,291,596	$189	6.48%	1967
Prairie Industrial Park	Memphis, TN	05/05/2023	5	$13,109,048	$162	5.67%	1966
Northgate Distribution Cen	Columbus, OH	04/26/2024	6	$11,569,678	$143	7.05%	1989
Zephyr Industrial Park	Austin, TX	03/04/2023	3	$9,282,252	$115	8.01%	2009
Newport Industrial Park	Grand Rapids, MI	07/01/2022	3	$5,126,182	$63	5.95%	2008
Keystone Distribution Cent	Minneapolis, MN	12/05/2024	6	$10,058,809	$124	5.15%	1990
Lockwood Industrial Park	Detroit, MI	03/12/2022	4	$14,712,677	$182	7.51%	1968
Amberly Business Park	Norfolk, VA	01/04/2022	5	$7,317,053	$90	6.80%	2011
Canyon Commerce Park	St. Louis, MO	05/25/2026	4	$14,579,330	$180	7.82%	1989
Verde Logistics Center	Austin, TX	06/28/2025	7	$9,208,832	$114	5.27%	1983
Valley Distribution Center	Houston, TX	08/07/2025	7	$11,113,483	$137	5.14%	2001
Maple Industrial Park	Memphis, TN	01/10/2024	4	$15,185,383	$187	8.12%	2003
Stonebridge Business Park	Tampa, FL	06/08/2025	6	$11,067,288	$137	7.02%	1975
Ironwood Commerce Park	Las Vegas, NV	07/06/2023	6	$9,101,721	$112	7.90%	1967
Indigo Commerce Park	Milwaukee, WI	07/24/2022	7	$16,816,855	$208	6.71%	1984
Riverbend Commerce Park	Detroit, MI	11/26/2024	5	$8,693,905	$107	5.99%	1966
Wexford Logistics Center	Savannah, GA	11/28/2024	7	$7,865,307	$97	6.56%	1994
Foxglove Business Park	Albuquerque, NM	09/13/2023	7	$11,924,779	$147	8.10%	2015
Riverbend Industrial Park	Pittsburgh, PA	03/14/2023	7	$16,669,099	$206	7.54%	1965
Ivy Industrial Park	Nashville, TN	09/10/2024	5	$11,867,743	$147	6.62%	1973
Lantern Distribution Cente	Aurora, CO	07/12/2023	6	$8,328,936	$103	7.11%	1985
Heritage Business Park	Allentown, PA	02/02/2026	4	$9,337,850	$115	5.66%	1979
Raven Distribution Center	Louisville, KY	05/13/2026	7	$5,488,963	$68	7.61%	1978
Crestline Logistics Center	Naperville, IL	07/27/2024	6	$9,351,978	$115	6.00%	1974
Willow Commerce Park	Grand Rapids, MI	08/03/2026	4	$14,633,036	$181	6.22%	2016
Hawthorne Commerce Park	Las Vegas, NV	08/12/2026	6	$7,037,718	$87	5.81%	1996
Cedar Commerce Park	Orlando, FL	07/16/2024	6	$15,640,943	$193	6.71%	1976
Ashford Commerce Park	Boise, ID	11/10/2022	7	$15,077,853	$186	8.19%	1992
Lockwood Distribution Cent	Allentown, PA	03/23/2026	4	$10,840,865	$134	5.38%	1974
Foxglove Business Park	Aurora, CO	07/28/2026	6	$6,345,309	$78	7.11%	2000
Ivy Commerce Park	Dallas, TX	05/22/2022	3	$12,261,430	$151	7.12%	1975

Report generated 02/07/2021. Figures are unaudited and subject to change.

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Construction Details

Kestrel Logistics Center was originally constructed in 2012 and consists of 81,000 SF in a building of 47 stories. The building offers 20' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Mechanical systems include rooftop package units and central plant equipment of varying age. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting.

Valuation Discussion

The building offers 5' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Effective gross income for the trailing period was $434,000, representing a 9.7% increase over the prior year. In-place rents average $7 per square foot triple net with 3% annual escalations. Debt service coverage ratio was 8.15x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period. The facility is located 1 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations. Operating expenses totaled $15,000 or approximately 11.13 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. The building offers 39' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Building Systems

The roof is a 26-year membrane system with an estimated remaining useful life of 5 years. In-place rents average $7 per square foot triple net with 3% annual escalations. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Common area interiors have been refreshed within the last 3 years and are in average to good condition. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Kestrel Logistics Center was originally constructed in 2012 and consists of 81,000 SF in a building of 38 stories. In-place rents average $7 per square foot triple net with 3% annual escalations. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Income and Expense Review

Effective gross income for the trailing period was $64,000, representing a 4.6% increase over the prior year. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 3.8% over the hold period.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $270,000 or approximately 44.40 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.17x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $442,000, representing a 2.2% increase over the prior year.

Building Systems

The roof is a 21-year membrane system with an estimated remaining useful life of 9 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition.

Mechanical systems include rooftop package units and central plant equipment of varying age. The building offers 28' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Kestrel Logistics Center was originally constructed in 2012 and consists of 81,000 SF in a building of 26 stories. Common area interiors have been refreshed within the last 7 years and are in average to good condition.

Financial Analysis

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Disclaimer and Confidentiality

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Time is of the essence with respect to each and every provision of this instrument. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Kestrel Logistics Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of MO. Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Kestrel Logistics Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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